GMS WEEKLY

Your Source for Recycling News

December 10th, 2021
Volume 232, Issue 1009
Week 49

Highlights:

- **Reversals**
- **India down.**
- **Limited supply.**
- **Suezmax sale.**
- **Pakistan rupee.**

QUOTE of the WEEK

"If you are working on something that you really care about, you don't have to be pushed. The vision pulls you."

– *Steve Jobs*

MARKET COMMENTARY

TENTATIVELY POISED!

Markets remain tentatively poised this week, as days of constant reversals have left most end Buyers without any motivation or appetite to acquire units at yesterday's levels.

India has been the most affected by the recent falls, with all offers on vessels now coming in around the mid USD 500s/LDT and below, having seen well above USD 600/LDT just last month.

The decline in local steel plate prices in India have been so severe (in excess of USD 60/Ton in a matter of a weeks) that many Alang Buyers are continuing to wait-and-watch further market developments, rather than offering on any available units.

The ongoing dearth in the supply of tonnage has stretched into this week as well, as an increasing number of owners in the wet sector are looking set to bank on market improvements going into 2022.

One Suezmax sale was concluded into Bangladesh at decent numbers this week – and this shows that the falls have not been that pronounced in neighboring markets (certainly not as bad in Chattogram at least).

Gadani has been struggling with currency depreciations of late, and the week even started with a dramatic level of PKR 178.20 against the U.S. Dollar – the highest EVER!

Turkey too has not been spared from collapsing currency fiasco as the Lira teeters on the edge just shy of TRY 14.0 against the U.S. Dollar, while local and import steel respectively registered declines of their own.

As we get closer to the holidays and Owners the world over gear up for time with family and friends, we anticipate supply could further weaken and deliveries further delayed in light of increased travel restrictions due to the new Omicron Covid variant.

For week 49 of 2021, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Declining	590 / LDT	600 / LDT	610 / LDT
2	Pakistan	Declining	580 / LDT	590 / LDT	600 / LDT
3	India	Declining	550 / LDT	560 / LDT	570 / LDT
4	Turkey	Weakening	330 / LDT	340 / LDT	350 / LDT

BANGLADESH

TALES OF WOE!

Doom and gloom.

The talk in Bangladesh this week has been of even more doom and gloom as even local steel plate prices fell by about USD 8/Ton, but the one market sale concluded in some time to Chattogram Buyers suggested a different story.

The Winson Oil suezmax tanker OCEAN RUBY (22,029 LDT) was committed for a firm USD 620/LT LDT, to belie a lot of the woeful tales emerging from the market.

Cautious.

Many end users remain cautious and determined to talk down the market, but a lack of tonnage may ultimately decide that any further falls may not be as dramatic.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
OCEAN RUBY	Tanker	22,029	USD 620/LT LDT

INDIA

DOLDRUMS!

The Alang ship recycling market has remained in the doldrums for some weeks now and is rapidly losing touch with competing Bangladeshi and Pakistani markets.

Losing touch.

Local steel plate price declines have rocked Alang, with levels now over USD 60/LDT below their recent highs and end Buyers understandably abstain from any serious negotiating / buying, while they assess the true damage as a result of the seemingly unending collapse.

The INR too has been trading at a marginally weaker Rs. 75.5X against the U.S. Dollar, but the ongoing lack of supply and far firmer competing neighbours may eventually drag Indian levels up closer to the 600/LDT levels again, as the market gears up for 2022.

Supply slow.

NO MARKET SALES REPORTED

PAKISTAN

WORRYING WEEK!

Currency collapse.

It has been a worrying week in Gadani with the currency touching the highest level it has ever been against the U.S. Dollar (currently at PKR 178.20).

This has led to Gadani Buyers scaling back offers on any of the scarce units currently available, as prices tumble below USD 600/LDT, mirroring the Indian collapse.

Demand low.

Steel prices have also cooled off by about USD 11/Ton this week, whilst demand for finished product is running low as there is a reported slowdown in construction projects and electricity tariffs increase (thereby increasing cutting costs).

For the time being, however, it is expected to be a quieter end to the year in Pakistan whilst local fundamentals settle.

NO MARKET SALES REPORTED

TURKEY

IN RETREAT!!!

The Turkish market seems to finally be in retreat this week, as both import steel fell by about USD 8/Ton and local steel plate prices dropped by about USD 15/Ton. Even the Turkish Lira is breaking records week-after-week as this week, it briefly breached TRY 13.9X.

Fundamentals down.

Understandably, local sentiments are high on caution mode and while demand still persists, levels are likely to start retreating in the coming week(s), especially if these fundamentals continue to drop.

Turkey too hasn't escaped the pinching shortage of tonnage, as the dearth has managed to keep levels up so far.

Levels still high.

Just how this market will react as we head into 2022 remains to be seen. For now however, levels are still strong and Owners can certainly negotiate a high-priced deal at this time.

NO MARKET SALES REPORTED

AMAZING FACTS

- *Half of all humans who have ever lived have died from malaria.*
- *While working on Pac-Man, video game designer Tohru Iwantani was allegedly inspired by the shape of a pizza with one slice removed.*
- *The average hummingbird's heart rate is more than 1,200 beats per minute.*
- *Along with the five traditional senses of sound, sight, touch, smell and taste, humans have 15 "other senses." These include balance, temperature, pain and time as well as internal senses for suffocation, thirst, and fullness.*
- *Cookie Monster's real name is Sid.*
- *Humans share 50% of their DNA with bananas.*
- *The Dancing Plague of 1518 was a case of dancing mania that occurred in Germany, where people danced without rest for a month straight.*
- *In 30 minutes, the human body gives off enough heat to bring a gallon of water to a boil.*
- *An adult is made up of 7,000,000,000,000,000,000,000,000,000 (7 octillion) atoms. For perspective, there's a 'measly' 300,000,000,000 (300 billion) stars in our galaxy.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
December 25 – Christmas Day	December 05 – December 10 December 17 – December 24

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
December 16 – Victory Day of Bangladesh December 25 – Christmas Day	December 03 – December 06 December 19 – December 22

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in December.	December 25 – Christmas Day	**No holidays in December.**

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of December 11, 2021

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Banyan Pride*	*9,495*	*Oil Tanker*	*Beached December 09*
2	Coral	2,763	Chemical Tanker	Arrived December 03
3	Harriet	2,292	Tanker	Arrived December 09
4	*Hero (Under Tow)*	*9,082*	*Jack-up*	*Beached December 11*
5	Maple	5,409	Tanker	Arrived December 10
6	Melati Dua	10,169	Tanker	Arrived December 09
7	Raj	13,828	Tanker	Arrived December 11
8	Sea Golden	2,830	Chemical Tanker	Arrived December 03
9	*Swiftchem*	*4,489*	*Tanker*	*Beached December 11*
10	*Video*	*554*	*Fishing Vessel*	*Beached December 08*
Total Tonnage		**60,911**		

CHATTOGRAM - Port Position as of December 10, 2021

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Altair*	*6,395*	*RoRo*	*Beached December 04*
2	BNS Shah Amanat	345	Landing Craft	Arrived October 29
3	*Bull Sumbawa*	*7,842*	*Tanker*	*Beached December 05*
4	*Chang Li*	*2,771*	*Tanker*	*Beached December 08*
5	EM Longevity	46,657	VLCC	Arrived December 09
6	*Ever Luck*	*3,683*	*Tanker*	*Beached December 09*
7	*Global*	*42,152*	*Tanker*	*Beached December 03*
8	*Jubilant*	*42,760*	*FSO*	*Beached December 06*
9	*Laris*	*11,443*	*Tanker*	*Beached December 03*
10	LCT-101	83	Landing Craft	Arrived October 29
11	*Marine One*	*1,457*	*Reefer*	*Beached December 07*
12	*Mega Reefer*	*1,445*	*Reefer*	*Beached December 07*
13	Ocean 68	2,369	General Cargo	Arrived November 23
14	*Oriental Chilan*	*1,548*	*Reefer*	*Beached December 04*
15	Sea Fortune (Under Tow)	1,339	Tanker	Arrived December 07
16	Win Lotus	2,871	Tanker	Arrived December 06
17	*Yuan Sheng*	*1,880*	*Tanker*	*Beached December 08*
Total Tonnage		**177,039**		

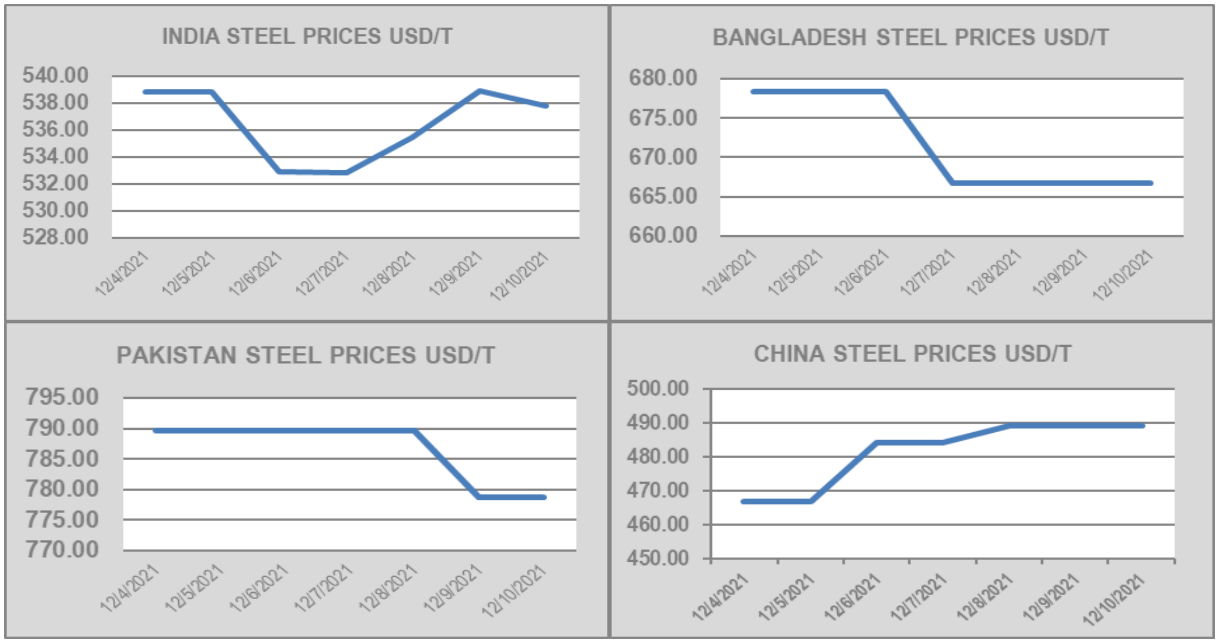
GADANI - Port Position as of December 10, 2021

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Atlantic Enterprise	4,083	Accommodation Ship	Arrived December 07
2	*Lord Gee*	*1,033*	*Tug*	*Beached December 08*
3	*Ocean Sharm*	*1,357*	*Tug*	*Beached December 09*
4	*Sir Gee*	*770*	*Tug*	*Beached December 08*
5	*Vagabon*	*3,024*	*Tanker*	*Beached December 08*
Total Tonnage		**10,267**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
12/4/2021	538.85	40,500.00	789.62	140,000.00	678.36	58,000.00	466.87
12/5/2021	538.85	40,500.00	789.62	140,000.00	678.36	58,000.00	466.87
12/6/2021	532.94	40,200.00	789.62	140,000.00	678.36	58,000.00	484.29
12/7/2021	532.87	40,200.00	789.62	140,000.00	666.67	57,000.00	484.29
12/8/2021	535.45	40,400.00	789.62	140,000.00	666.67	57,000.00	489.19
12/9/2021	538.93	40,700.00	778.71	139,000.00	666.67	57,000.00	489.19
12/10/2021	537.79	40,700.00	778.71	139,000.00	666.67	57,000.00	489.19



www.gmsinc.net
GMS_Leadership
GMS, Inc.
snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311